

markets, the core principles will always apply, but the best applications of those principles will ebb and flow. The fact that Graham and Dodd's principles can help navigate the market for athletic talent attests to the universality and timelessness of their approach.

FINAL THOUGHTS

The essential characteristics of a value investor—patience and discipline—are rare. As Warren Buffett noted (in his famous article “The Superinvestors of Graham-and-Doddsville”), “[I]t is extraordinary to me that the idea of buying dollar bills for 40 cents takes immediately with people or it doesn't take at all. It's like an inoculation. If it doesn't grab a person right away, I find you can talk to him for years and show him records, and it doesn't make any difference.”⁵

My own experience has been exactly the one that Buffett describes. My 1978 summer job and subsequent full-time employment at Mutual Shares, a no-load value-based mutual fund, set the course for my professional career. The planned liquidation of Telecor and spin-off of its Electro Rent subsidiary in 1980 forever imprinted in my mind the merit of fundamental investment analysis. A buyer of Telecor stock was effectively creating an investment in the shares of Electro Rent, a fast-growing equipment rental company, at the giveaway valuation of approximately one times cash flow. You always remember your first value investment.

If *Security Analysis* resonates with you—if you can resist speculating and sit on your hands at times—perhaps you have a disposition toward value investing. If not, at least this book will help you understand where you fit into the investing landscape and gain an appreciation for the value-investing community.

⁵ “The Superinvestors of Graham-and-Doddsville,” 1984; <https://www8.gsb.columbia.edu/sites/valueinvesting/files/files/Buffett1984.pdf>.